

DataMind Retail - FY2024 Sales Performance Report

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Distribution: Executive Leadership Team

1. Executive Summary

Fiscal Year 2024 closed with total company revenue of \$2,176,040 across four regions (North, South, East, West) and five product lines. The West region was the top-performing region for the full year with \$648,145 in revenue, followed by North (\$577,265), East (\$507,165), and South (\$443,465). The Laptop Pro 14 was the highest-revenue product for the year at \$1,060,800, more than double the next closest product, the 4K Monitor 27in (\$511,000).

2. Q3 Revenue Decline

Company-wide revenue declined by approximately 30.5% quarter-over-quarter between Q2 2024 (\$582,405) and Q3 2024 (\$404,710). Every region experienced a slowdown, but the decline was sharply uneven:

- West: -44.3% quarter-over-quarter (the steepest drop of any region)
- North: -26.7%
- South: -25.9%
- East: -20.2% (the most resilient region)

3. Why Sales Declined in Q3

Three factors drove the Q3 slowdown, based on input from Sales, Marketing, and Operations:

- a) Delayed marketing campaign: The planned back-to-school and early-autumn promotional campaign for the West region was delayed by six weeks due to a creative approval bottleneck, pushing most of its spend into October. This is the primary reason West's Q3 decline (-44.3%) was so much larger than the other regions.
- b) Distributor inventory correction: Several West-region retail partners over-ordered Laptop Pro 14 units in Q2 ahead of an expected price increase that did not materialize, then paused reorders through Q3 to work down existing stock. Since the Laptop Pro 14 is the single largest revenue driver company-wide, any pause in reorders has an outsized effect on total revenue.
- c) Seasonal enterprise procurement cycle: Enterprise customers in the East and North regions typically finalize hardware refresh budgets in late Q3/early Q4, which softens Q3 order volume every year; this is a recurring seasonal pattern rather than a new problem, which is

consistent with East showing the smallest year-over-year disruption.

4. Recovery in Q4

All regions recovered strongly in Q4 2024 once the delayed West marketing campaign launched and distributor destocking finished. October, November, and December were the three highest-revenue months of the year company-wide, indicating the Q3 slowdown was a temporary, explainable dip rather than a structural decline in demand.

5. Recommendations

- Move creative approval for regional campaigns onto a fixed calendar so launches are never delayed into the following quarter.
- Coordinate with distributors before communicating any price change to avoid speculative over-ordering that causes an inventory air-pocket the following quarter.
- Continue to expect a seasonal Q3 softening in East and North and plan cash flow accordingly; it is not a sign of demand weakness.
- Given the Laptop Pro 14's outsized share of revenue, prioritize keeping its channel inventory and marketing calendar stable across all regions.

6. Outlook

Given the strength of the Q4 rebound and no change in underlying customer demand, the FY2025 outlook remains positive. West is expected to remain the top-performing region assuming the marketing calendar issue identified in this report is corrected.